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Case Number: 23STCV30316 Hearing Date: August 10, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department 508

OPERA
BRIGHT, LLC,

Plaintiff,

vs.

HILLS ONE,
LLC, et al.

Defendants.

Case No.:

23STCV30316

Hearing Date:

August 10, 2026

Hearing Time:

10:00 a.m.

[TENTATIVE]
ORDER RE:

PLAINTIFF OPERA BRIGHT, LLC'S MOTION FOR LEAVE TO FILE THIRD AMENDED COMPLAINT TO ADD OR SUBSTITUTE JACOB STEIN AS ADDITIONAL PLAINTIFF

Background

Plaintiff Opera Bright, LLC ("Opera Bright") filed this action on December 12, 2023 against Defendants Hills One, LLC ("Hills One"), Key Compounds, LLC, Hills Group, LLC ("Hills Group"), Alex Reyter, Jay Rifkin, and Paul Fiore. Opera Bright's original complaint alleged six causes of action for (1) fraud, (2) fraudulent transfer, (3) conspiracy to defraud, (4) aiding and abetting fraud, (5) negligent misrepresentation, and (6) breach of contract.

Hills One and Hills Group demurred to the complaint in its entirety. On July 17, 2024, the Court issued an Order sustaining Hills One's and Hills Group's demurrers to the first, second, third, fourth, fifth, and sixth causes of action of the complaint. The Court ordered Opera Bright to file and serve an amended complaint, if any, within 30 days of the Order.

Opera Bright filed its first amended complaint ("FAC") on August 6, 2024. Hills One and Hills Group again filed demurrers, challenging the FAC in its entirety. At an October 24, 2025 hearing, the parties came to an agreement, and the Court ordered Opera Bright to file and serve a second amended complaint. (Order 10/24/25, 8:20-22.)

On November 14, 2025, Opera Bright filed the operative second amended complaint ("SAC") against Defendants Hills One, Hills Group, Alex Reyter, Jay Rifkin, and Paul Fiore, alleging nine causes of action for (1) fraudulent inducement to enter contract, (2) fraudulent misrepresentation – tort of another, (3) fraudulent transfer, (4) conspiracy to defraud, (5) aiding and abetting fraud, (6) conversion, (7) violation of penal code §496, (8) breach of contract - deficiency, and (6) breach of contract - failure to deliver and protect collateral.

Defendants Hills One, Hills Group, Jay Rifkin, and Paul Fiore (collectively, "Defendants") previously demurred to Opera Bright's SAC in its entirety. The Court granted the demurrer without leave to amend on April 15, 2026 for lack of standing.

Opera Bright now "move[s] for leave file a Third Amended Complaint ["TAC"] to add or substitute JACOB STEIN as an additional plaintiff." (Notice of Mot., 1:26-27.) Defendants oppose. Opera Bright replied.

Legal Standard

Pursuant to Code of Civil Procedure section 473, subdivision (a)(1), "[t]he court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading." Amendment is allowed "at any time before or after commencement of trial, in the furtherance of justice." ((Id., § 576.) "[T]he court's discretion will usually be exercised liberally to permit amendment of the pleadings. The policy favoring amendment is so strong that it is a rare case in which denial of leave to amend can be justified." ((Howard v. County of San Diego (2010) 184 Cal.App.4th 1422, 1428 [internal citations omitted].) "If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend." ((Morgan v. Superior Court of Los Angeles County (1959) 172 Cal.App.2d 527, 530.) Prejudice includes "delay in trial, loss of critical evidence, or added costs of preparation." ((Solit v. Tokai Bank (1999) 68 Cal.App.4th 1435, 1448.)

A motion to amend a pleading before trial must include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments. ((Cal. Rules of Court, rule 3.1324(a).) The motion must also state which allegations are proposed to be deleted or added, by page, paragraph, and line number. ((Ibid.) Finally, "[a] separate declaration must accompany the motion and must specify: (1) The effect of the amendment; (2) Why the amendment is necessary and proper; (3) When the facts giving rise to the amended allegations were discovered; and (4) The reasons why the request for amendment was not made earlier." (Cal. Rules of Court, rule 3.1324(b) [emphasis added].)

Discussion

A. Adding
Stein as a Plaintiff

Opera Bright's notice of motion explains that its "motion is made on the grounds the Court held that Plaintiff OPERA BRIGHT does not have standing to prosecute the claims in this case. Based on the Court's ruling, JACOB STEIN is a proper party with standing to pursue the claims in this case. Plaintiffs who have been determined to lack standing, such as OPERA BRIGHT, are permitted to substitute as plaintiffs the true real parties in interest, such as JACOB STEIN, and amendments for this purpose are liberally allowed." (Notice of Mot., 2:1-5.)

Opera Bright cites Branick v. Downey Savings & Loan Assn. (2006) 39 Cal.4th 235 (Branick), as the applicable precedent on this issue. There, the Supreme Court expressed that "courts have permitted plaintiffs who have been determined to lack standing, or who have lost standing after the complaint was filed, to substitute as plaintiffs the true real parties in interest." ((Id. at p. 243.) "The important limitation on the rule just mentioned is that the plaintiff proposed to be substituted may not state facts which give rise to a wholly distinct and different legal obligation against the defendant. For this purpose, [i]n determining whether a wholly different cause of action is introduced by the amendment technical considerations or ancient formulae are not controlling; nothing more is meant than that the defendant not be required to answer a wholly different legal liability or obligation from that originally stated. Similar principles govern the question whether an amendment relates back, for purposes of the statute of limitations, to the date on which the original complaint was filed. The relation-back doctrine requires that the amended complaint must (1) rest on the same general set of facts, (2) involve the same injury, and (3) refer to the same instrumentality, as the original one." ((Id. at pp. 243-244 [internal quotations and citations omitted].)

Opera Bright asserts that "[i]n the present case, OPERA BRIGHT claimed standing because it was the apparent assignee of the original lenders to Defendants, including STEIN. The Court held that OPERA BRIGHT could not have standing because the lenders' assignments could not be legally effective. If STEIN and the other lenders were not empowered to assign their claims against Defendants to other parties, then those claims must remain with STEIN and the other lenders. Accordingly, if OPERA BRIGHT does not have standing to assert the claims in the SAC which arise from the loan transactions, then STEIN must still have standing to assert his own claims." (Mot., 13:10-17.) Moreover, Opera Bright asserts that "the addition or substitution of STEIN as a plaintiff will not involve any new substantive facts, or raise the possibility of any new claims or legal obligations against Defendants. Because OPERA BRIGHT was purporting to stand in the lenders' shoes and bring claims on their behalf, STEIN as an original lender asserts the same claims for relief based on the same underlying facts as OPERA BRIGHT already pleaded." (Mot., 13:18-22.)

Opera Bright also contends that Stein's causes of action should relate back to the original filing date because they "rely on exactly the same facts and instrumentalities— the agreements for STEIN's loan to HILLS ONE—as OPERA BRIGHT's claim. Also, the same inquiries underlie STEIN's claims as OPERA BRIGHT's claims: did Defendants misrepresent HILLS ONE's rights in the secured equipment, and did HILLS ONE repay the loan?" (Mot., 14:12-15.)

Defendants oppose Opera Bright's contention that leave to amend is permitted. Defendants contend that Engel v. Pech (2023) 95 Cal.App.5th 1227 (Engel) "supplies the controlling analysis." (Opp., 7:23.) There, the Court of Appeal did not allow Engel to amend the complaint for malpractice to add the LLP as a plaintiff. (Engel, supra, at pp. 1236-1238.) In making this determination, the court looked at "the retainer agreement that is the sole basis for any malpractice liability in this case explicitly identifies two 'clients'—the LLP and Engel as an individual." (Id. at p. 1238.) Because of this, "there are two potential sets of malpractice claims—one owned by the LLP, and another owned by Engel." (Ibid.) The court explained that "Pech owes each Engel and the LLP a separate 'legal liability or obligation' to perform competently the services for which he was retained, and each therefore owns its own potential malpractice claims against Pech. Engel himself seems to recognize this: The amended complaint did not replace Engel as an individual with the LLP, as it would if the LLP were merely stepping into Engel's shoes as a plaintiff; instead, the complaint added the LLP as a second plaintiff, because Engel and the LLP stand in different shoes." (Id. at p. 1240.) The court ultimately concluded that "[b]oth Engel and the LLP have distinct potential claims for malpractice, so it is equally inappropriate to add the injured party (the LLP) to the lawsuit after the limitations period has run merely because the uninjured party (Engel) had previously filed a timely claim.” (Ibid.) The court explained that a new plaintiff’s claims are seeking to enforce an independent right “when (1) the new plaintiff’s claims rest on a wholly different legal liability or obligation (that is, a distinct cause of action) from that originally [alleged]; (2) the new plaintiff’s claims entail a distinct injury; or (3) the new plaintiff’s claims impose greater liability upon the defendant than the original plaintiff’s claims.” (Id. at p. 1237 [internal quotations and citations omitted].)

Defendants first contend that “Stein cannot step into Opera Bright’s asserted position as assignee of all sixteen lenders. He made only one loan, representing only six percent of the principal alleged in the SAC. He has no standing to enforce the other fifteen lenders’ notes, security agreements, pledge agreements, guaranties, tort claims, or alleged injuries.” (Opp., 8:8-11.) Defendants next assert that “the injuries are not the same. The SAC alleged injury to Opera Bright as the purported assignee and foreclosing creditor, including a deficiency after an auction, damage to its claimed security rights, and expenses incurred defending itself and its manager in Oregon. The proposed TAC alleges only Stein's personal loss of a $60,000 principal amount, his transactional costs, loss of use of his funds, consequential damages, and his individual attorney fees and costs in Oregon.” (Opp., 8:22-27.) Third, Defendants assert, inter alia, that “the proposed obligations and defenses differ. Stein's contract claim concerns his own note, his own performance, the maturity and default of that note, the amount he personally received or did not receive from the auction, and any offsets or defenses specific to him…” (Opp., 9:4-6.) Lastly, Defendants assert that “the legal premise is reversed. The SAC alleged that the assignments were valid and that the lenders, including Stein, had transferred their rights away. The proposed TAC alleges that the assignments were ineffective and that Stein retained his rights. (Proposed TAC, ¶¶ 22- 26.) Alternative pleading may be permitted, but an amendment cannot be characterized as a restatement of the ‘identical’ action when it depends on the opposite ownership premise and materially changes whose conduct and injury are being alleged.” (Opp., 9:12-17.)

Defendants’ opposition also asserts that “[c]ritically, Plaintiff does not propose that Stein replace Opera Bright as the owner of an unchanged claim. It proposes that both remain. The renewed motion states that Opera Bright will not dismiss its claims because it wishes to challenge the standing ruling, while Stein will purportedly prosecute the newly reframed claims in the meantime.” (Opp., 9:27-10:3.) Defendants contend that “[t]hat choice matters under Engel. There, the court observed that the amended pleading added the new entity as a second plaintiff rather than replacing the original individual, demonstrating that the two plaintiffs ‘stand in different shoes.’… The same inference follows here. If Stein were merely the correct name for the owner of Opera Bright’s identical claims, Opera Bright would step out and Stein would step in. Plaintiff (or really, Plaintiff's counsel) instead seeks two plaintiffs because Plaintiff's counsel is simultaneously pursuing two completely incompatible positions: Opera Bright will contend on appeal that it owns the rights, while Stein contends in the trial court that he owns them.” (Opp., 10:4-11.)

In reply, Opera Bright first contends that “[i]n the present case, Stein would prosecute claims based on contract and fraud; contract because he made a loan which was not repaid, memorialized in written loan document contracts, and fraud because he was induced to make that loan by Defendants’ intentionally false statements. Those are the same facts and legal obligations that Opera Bright has asserted against Defendants since the case started with respect to Mr. Stein’s loan. The loan documents for Mr. Stein’s loan were attached as exhibits to the First and Second Amended Complaints, and are unchanged on the Third Amended Complaint.” (Reply, 4:7-13.) Opera Bright clarifies that “[t]he distinction, of course, is that Opera Bright made the same claims with respect to 16 total loans, only one of which was from Mr. Stein. He does not allege new facts, just less facts. He does not assert a different theory or obligation against Defendants, just less obligation based on similar theories.” (Reply, 4:14-17.)

Opera Bright also distinguishes Engel, asserting that “[i]n that case, the defendant law firm represented a partnership—a separate legal entity from the individual partners. The individual partner attempted to assert a malpractice claim against the defendant law firm, but the court held the individual partner did have standing to do so. The malpractice claim, the court reasoned, belonged to the partnership, not the partner. In the present case, the claims against Hills One and the other Defendants initially belonged to the lenders, including Stein. The only reason Opera Bright may ever have had those claims was as a result of the lenders’ assignments to Opera Bright. But for the lenders claims, Opera Bright had no basis to assert liability against Defendants. So, when the Court found the assignments were legally invalid, as a matter of law the claims must have reverted to the lenders, including Stein. There is one set of claims relating to Stein's loan. It moved from him to Opera Bright, and then back to Stein again. The facts of Engel are entirely different and not controlling here." (Reply, 4:26-5:10.)

The Court discussed the facts of Engel at length above, The court in Engel found that the LLP could not be substituted as a plaintiff in the case because both Engel and the LLP had distinct injuries, and adding the LLP as a plaintiff could bring new claims, rather than merely having the LLP assume the same, previous position as Engel. Here, the situation is different. By substituting in Stein, Opera Bright does not seek to have Stein stand in its shoes entirely but only as to Stein's cause of action, while simultaneously "not dismissing its other claims." (Mot. 2:6-8.) To that end, Opera Bright has included itself as a "plaintiff' in the first sentence of the proposed TAC and in the prayer for relief. However, there are no charging allegations in the TAC as to Opera Bright. There are other passing references to Opera Bright, such as the references in paragraphs 28, 29, 86 and 89, and some of these are inconsistent with the new allegations as to Stein (e.g., paragraphs 26 and 55.)

Opera Bright "concedes that … there will be a fundamental complication with the case. That complication is that Opera Bright will not waive its right to seek review of the Court's April 15 demurrer ruling, but Mr. Stein only has standing to prosecute claims arising from his own loan, and not the other 15 loans alleged in the previous complaints." (Reply, 2:5-9.) Therefore, Opera Bright offers a suggestion: "that the Court sever the claims relating to Mr. Stein's loans from claims relating to the other 15 loans; allow Mr. Stein to substitute in to prosecute his own claims, and enter judgment against Opera Bright on the claims relating to the other 15 loans. Because all claims between Opera Bright and Defendants would be resolved by that, such a severance should be permissible under Code of Civil Procedure Section 1042, and the judgment against Opera Bright would be appealable." (Reply, 2:10-15.)[1]
The Court agrees that this is a fundamental complication. Moreover, Opera Bright did not include as part of its motion a request for severance. Consequently, the issue of severance is not before the Court and Defendants have not had an opportunity to address it.

Based on the foregoing, the Court finds that the TAC is improperly drafted with Stein substituted into the action while simultaneously retaining Opera Bright as a plaintiff. Because the order on this motion will be without prejudice, the Court addresses the other issues raised in the opposition so the parties will have the benefit of the Court's analysis on those issues.

B.

Procedural Requirements

As required by California Rules of Court, rule 3.1324(a), Opera Bright's counsel, Daniel A. Crawford ("Crawford"), includes the proposed TAC as well as a chart detailing each proposed deletion and addition to the current SAC. (Crawford Decl., Ex A; Notice of Mot., pp. 2-10.) Crawford explains the effect of the new amendment stating that it "seeks leave to plead will be to add or substitute JACOB STEIN as an additional plaintiff in the above-entitled case, and also to reduce the number of loans upon which the action is based from 16 to 1." (Crawford Decl., ¶ 4.) Crawford further attests that "the amendment is necessary and proper because on April 15, 2026, after multiple rounds of demurrers, the Court found that Plaintiff OPERA BRIGHT was not a valid assignee of any claims, and had no standing to bring any claims asserted in the case. Because STEIN had been a purported assignee, and his purported assignment was ineffective according to the Court's ruling, STEIN is the proper party with standing to assert claims based on his loan." (Crawford Decl., ¶ 5.) Crawford explains he discovered the facts giving rise to the amendment "were discovered when the Court found for the first time that Plaintiff OPERA BRIGHT was not a valid assignee of any claims, and had no standing to bring any claims asserted in the case." (Crawford Decl., ¶ 6.) Lastly, Crawford attests, inter alia, that "the reasons why the request for amendment was not made earlier are: 1) that OPERA BRIGHT holds written agreements from all of HILLS ONE's original lenders purporting to assign their contractual rights, and from several of the lenders assigning their tort rights, to OPERA BRIGHT; 2) that California law appears to state that every lender is empowered to assign its collection rights regardless of any contractual non-assignment language…; and, 3) that prior to April 15, 2026, the Court ruled that OPERA BRIGHT had alleged sufficient facts to state a basis for standing as an assignee. The April 15, 2026 ruling revealed a new fact—that STEIN and not OPERA BRIGHT had standing—which made amendment necessary. After that April 15 ruling, it took some time and research to plan the legal remedy of adding STEIN as a plaintiff. On June 19, 2026, OPERA BRIGHT filed a motion seeking leave to amend, scheduled for July 20, 2026. In opposition served July 7, 2026, Defendants argued that my declaration failed to comply with CRC 3.1324(b). In an abundance of caution, we withdrew that pending motion and prepared this substantially identical motion supported by this more extensive declaration (the proposed Third Amended Complaint is unchanged). Apart from the

3-week delay between July 20 and August 7, 2026, this was the earliest OPERA BRIGHT could reasonably seek this amendment." (Crawford Decl., ¶7.)

In Defendants' opposition, they assert that Opera Bright's declaration is insufficient because "the only 'fact' the declaration identifies as newly discovered is this Court's ruling itself" and Opera Bright "had every relevant fact from the outset and made a strategic choice to plead an assignee-only action through three complaints. Subdivision (b)(4) calls for an account of diligence, i.e., why amendment was not sought earlier despite what the movant knew. Counsel's litigation strategy is not diligence in discovering facts." (Opp., 6:7-18.)

Opera Bright's reply addresses this, stating that "[n]either of those arguments is a basis for denying this motion. Of course, the essential new fact which requires this motion is simply that Opera Bright, which acted as the plaintiff since the inception of the case, was found by the Court to have no standing. There are no other new facts, but that single, critical new fact is why this motion is necessary." (Reply, 3:11-14.)

The Court agrees that regardless of Opera Bright's knowledge that Stein had claims against Defendants, Opera Bright filed the instant lawsuit to pursue causes of action on Stein and the other lenders' behalf. If Opera Bright knew the lawsuit was untenable due to standing, it is reasonable to infer that Stein would have filed instead. Accordingly, the Court's ruling to sustain the demurrer did give rise to a newly discovered fact: Opera Bright cannot pursue the instant case.

Based on the foregoing, the Court finds that Opera Bright adequately complied with the requirements prescribed by California Rules of Court, rule 3.1324.

C. Defendants Have Not Identified Sufficient Prejudice

Defendants also assert that the instant motion should be denied due to prejudice. Namely, that "[t]he proposed amendment would require Defendants herein to begin a materially different plaintiff-specific case after more than two years of litigation." (Opp., 12:26-27.) Additionally, Defendants contend that "[t]he prejudice is not delay alone. Stein's new theories require discovery concerning: (a) his personal diligence, knowledge, and reliance before making the loan; (b) his relationship with and control of Opera Bright; (c) the circumstances and intended effect of his attempted assignments; (d) his personal role in the foreclosure and auction; (e) the receipt, allocation, and application of sale proceeds; (f) the precise claims asserted against him in Oregon; (g) the legal expenses he personally incurred; (h) his claimed loss of use and consequential damages; (i) lien priority among the lenders; and (j) defenses, offsets, indemnity issues, or counterclaims unique to Stein. Defendants herein would also need to evaluate whether Stein's conduct exposes him to affirmative claims arising from the foreclosure or competing security interests. Those issues directly affect whether Stein can state his claims and what, if anything, Hills One could owe him. The amendment would require new pleading motions, document discovery, testimony, and damages analysis while Opera Bright simultaneously pursues an appeal on an inconsistent ownership theory." (Opp., 13:1-13.)

Opera Bright refutes these assertions, stating that "Defendants also suggest there will be new topics for investigation and discovery with Stein as a plaintiff. There are two responses to that: first, it is always the case that the substituted plaintiff will have a slightly different perspective, with some different factual concerns, then a replaced plaintiff, but that is not itself a bar. Second, Defendants do not explain how they might be prejudiced just because they will have to investigate new issues or develop new evidence—that happens whenever new claims or theories are raised, and Plaintiff does not even seek to do that. Third, Defendants do not inform the Court that in the time since the case was filed, they have (apparently) conducted no discovery whatsoever—no depositions, interrogatories or production requests. So, Stein's addition to the case will not render much, or any, factual investigation worthless or require duplication of work. Since there is no trial date even set, any prejudice which would result from the addition of Stein to the case as a plaintiff can be mitigated in scheduling a trial date and discovery dates." (Reply, 8:13-23.)

The Court finds that Defendants have not identified sufficient prejudice to justify denying the instant motion. Considering there is not a current trial date and Stein's causes of action are predicated on identical events, additional costs and delay do not appear to be cognizable issues. Further, Opera Bright contends that Defendants have yet to conduct discovery. Thus, any prejudice that may ensue is insufficient to warrant denying the instant motion.

Conclusion

Based on the foregoing, Opera Bright's motion for leave to file a third amended complaint is denied without prejudice.

Opera Bright is ordered to give notice of this Order.¿¿

DATED: August 10, 2026

____

Hon. Teresa A. Beaudet

Judge, Los Angeles Superior Court

[1] The Court notes that Code of Civil Procedure section 1042 does not appear to exist. Instead, Opera Bright likely meant Code of Civil Procedure section 1048, which allows the Court to sever trials, causes of action, or parties.